ACCEPTANCE OF AN OFFER

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Acceptance

- Offer + Acceptance = Agreement

- Indication of willingness to be bound by the terms of an offer (Objectively assessed)

“Contractual acceptance has to be a **final and unqualified expression of assent to the terms of the offer**. Conduct will only amount to an acceptance if it is clear that the offeree did the act in question with the intention of accepting the offer. **But the test as to whether there has been such agreement is an objective one**. It follows that conduct which demonstrates an apparent intention to accept can be sufficient, despite uncommunicated mental reservations on the part of the offeree. However, it seems to me that for that situation to arise, the conduct in question must be clearly referable to the offer and, in the absence of knowledge of the offeree's reservations, not reasonably capable of being interpreted as anything other than acceptance. Where the offeror knows that the offeree continues to have significant mental reservations about his offer - for example, an unwillingness to accept certain terms of the offer or a determination to insist upon the incorporation into the contract of certain counter-proposals of his own - I doubt that a contract could be brought into existence by conduct. *Day Morris Associates v Voyce* [2003] EWCA Civ 189 at [35] per Mrs. Justice Black

- Acceptance completes a contract, signifies the end of negotiations.

Exercise 1

On March 1, Apex Ltd. offered to sell a parcel of land to Greenfield Ltd. for $2 million. The offer stated that it would remain open until March 10 and that acceptance was to be communicated by email. On March 9, Greenfield's CEO emailed Apex stating: "We accept your offer to purchase the property for $2 million. We will have our lawyer prepare the formal agreement". Apex's CEO replied: "Agreed. Let's get the paperwork done".

The following day, Greenfield's lawyer sent Apex a draft agreement containing several additional provisions, including a revised closing date and a financing condition. Apex's lawyer responded that Apex was "generally comfortable with the agreement" but proposed changes to the financing provision. The parties then exchanged several drafts over the next two weeks and negotiated the closing date and other terms.

During this period, Greenfield paid Apex $100,000, describing the payment as a "deposit toward the purchase price." Apex deposited the cheque but later returned it, stating that "no final agreement has yet been signed". Greenfield subsequently arranged financing specifically for the purchase.

Apex now refuses to complete the transaction, arguing that no contract was formed because the parties contemplated a formal written agreement. Greenfield argues that the March 9 email constituted acceptance and that the subsequent conduct merely implemented and refined an existing agreement.

Do Apex and Greenfield have an agreement? If yes, when was this agreement concluded?

Who may accept and offer and how?

- Who may accept? Only the person to whom it is addressed. If **A** makes an offer to **B** and **C** overhears it, **C** cannot accept that offer. If **C** purports to do so, her ‘acceptance’ will be an *offer*, which **A** is entitled to reject or accept.

- How does one accept an offer?

- Oral
- Writing (including by electronic means – see e.g., BC’s *Electronic Transactions Act*, s. 15)
- Conduct (must be referable to the offer and unequivocal)

- Acceptance should be consistent with the terms of the offer and the mode of acceptance suggested by the offer, or it is ineffective. [the so-called “mirror image rule”]. (See *Eliason v. Henshaw*).

- The offeror, by conduct or otherwise, may <u>waive</u> their right to insist upon their prescribed method of acceptance.

Eliason v. Henshaw 174

- This case holds that an offer of a bargain by one person to another imposes no obligation upon the former until it is <u>accepted by the latter according to the terms in which the offer was made</u>. Any qualification of or departure from those terms invalidates the offer unless the same is agreed to by the person who made it. Thus, in this instance, an acceptance communicated at a location different from that indicated by the offeror imposed no binding obligation upon the offeror, i.e., it created no contract. Do you agree with the decision given the facts of the case? To what extent should the law allow the offeror to control the mode of acceptance?

- How would you have decided this case if the buyer (the one who stipulated that acceptance must be sent to Harper's Ferry) had sued the seller for non-delivery of the flour?

Manchester Diocesan Council for Education v. Commercial & General Investments Ltd 175

"An offeror, who by the terms of his offer insists upon acceptance in a particular manner, is entitled to insist that he is not bound unless acceptance is effected or communicated in that precise way, although it seems probable that, even so, if the other party communicates his acceptance in some other way, the offeror may by conduct or otherwise waive his right to insist upon the prescribed method of acceptance. Where, however, the offeror has prescribed a particular method of acceptance, <u>but not in terms insisting that only acceptance in that mode shall be binding</u>, [...] acceptance communicated to the offeror by any other mode which is no less advantageous to him will conclude the contract."

Exercise 2

In November 2025, following what was then described as a business restructuring exercise, John's employment contract with Lazy Pandas Restaurant was terminated. In June 2026, John received a call from his former employer informing him that the business had opened a new location and had sent employment contracts to several former employees. John was encouraged to respond to the offer promptly.

When John received his offer letter, he was shocked. The letter stated that it must be "signed, dated, and returned" to the employer. The offer provided for a 15% reduction in his former hourly rate, a reduction in his working hours, and significant reductions in his benefits. The letter also stated that orientation for all workers was scheduled for Monday, August 3, 2026.

John signed the offer letter but added the following postscript: "This offer stinks! Clearly, you guys were using the so-called business restructuring as a ruse to pursue policies you had always wanted to implement. This is just not right!!! It sucks". He then dated the letter and returned it to his former employer.

John did not hear back from Lazy Pandas Restaurant. When he showed up for the workers' orientation on August 3, he was informed that he had no contract with the company and was required to leave the business premises.

Discuss whether John accepted Lazy Pandas' offer of employment.

Counter Offers

- An offeree must unreservedly assent to the exact terms of the offer (acceptance must be absolute, unconditional, and unequivocal)

- Rejection. A rejection terminates the offer – it brings it to an end

- Nature of a counteroffer. A clear presentation by the offeree of an alternative set of terms, or the alteration of a significant term in the original offer.

- Counteroffer and “mere request for information” distinguished
  - Test: whether a reasonable person in the position of the recipient would regard the response to the offer as introducing a new term into the bargain and not as a clean acceptance of the offer.
  - Objective assessment
  - Material nature of the term introduced

- Effect of a counteroffer. Rejects the original offer, so that the offeree cannot subsequently <u>unilaterally</u> revive it <u>and</u> constitutes an offer on its own.

Hyde v. Wrench 175

The defendant offered in writing to sell his farm for £1000. However, the plaintiff offered £950, which the defendant, after consideration, refused to accept. Thereafter, the plaintiff, by letter, agreed to pay £1000. However, there was no assent from the defendant, despite the initial offer remaining unchanged. It was held that there was no binding contract because the defendant's offer was not "at once unconditionally accepted".

When can an offer be accepted

- Within the time fixed in the offer for acceptance of the offer.
- Within a reasonable time, if no time is fixed for acceptance in the offer.
- All before the offer is revoked <u>to the knowledge of the offeree</u>.

Shatford v. B.C. Wine Growers Ltd. 164-165

An offer must be accepted within a reasonable time. In determining what is a reasonable time, one must have regard to the commodity being bargained for, the time of year of the offer, and the necessity, under the circumstances, as shown by the evidence of prompt decision, as to whether an offer would be accepted or not.

Manchester Diocesan Council for Education v. Commercial & General Investments Ltd 165-166

Where an offer is made in terms which fix no time limit for acceptance, the offer must be accepted within a reasonable time to make a contract. According to this case, what explains this rule?

Dickinson v. Dodds 168-169

- What were the facts of this case?

- A promise to keep an offer open does not bind the offeror either in law or in equity. What do you think about this principle? How can an offeree overcome its effects?

- This case decides that an offer cannot be accepted after the subject matter of the offer has been sold to another person and the offeree is aware of that fact. It is immaterial that knowledge of this fact comes to him through a third party. Should the principle be stated that broadly, or should it be limited to instances in which there is a pre-existing legal relationship (e.g. agency) between the offer**ee** and the person through whose knowledge the fact of the sale was brought to the attention of the offer**ee**? [In this instance, Mr. Berry was an agent of Dickinson, the offeree)
- Should the sale of the property to a third person in itself amount to a withdrawal of the offer, even though the person to whom the offer was first made had no knowledge of the sale?

- If a man who makes an offer dies, the offer cannot be accepted after he is dead. Explain why you agree or disagree with this statement. **A** offered to sell his house to **B** and promised to leave the offer open until 30 September 2025. On 21 September **A** died. Can **B** accept the offer?

Exercise 3

1. On November 15, Michael wrote to Sarah, offering to sell Sarah his farm for $150,000. The letter said that the deal could be closed immediately and that the title would be transferred on January 1, and ended, “Trusting to hear from you as soon as possible”. Sarah was away when the letter arrived and did not accept the offer until December 10; meanwhile, Michael sold the farm to Henry. Both Sarah and Henry claim the farm. How would you advise Sarah?

2. Alex sends an offer to Brian to sell goods, asking for a reply within a week. Eight days after receiving the offer, Brian replies accepting it. Two days later, Brian changes his mind and purport to withdraw his acceptance. How would you advise Alex, who has incurred expense in preparing the goods for shipment?

Communication of Acceptance

- Making up one's mind is not acceptance – there must be an external manifestation of assent that **<u>is communicated</u>** to the offeror.

❑ Express acceptance

- The offeree doesn't need to use particular words, e.g. "I accept"

❑ Acceptance by conduct. An offeree will be deemed to have accepted an offer if he does any act, whether or not accompanied by words, which, viewed objectively and in context, unequivocally indicates his intention to agree to and be bound by the terms of the offer.

- Conduct must be clearly referable to the offer.
- The test is objective, i.e. whether a reasonable person in the position of the offeror would think that the offeree, by his conduct, intended to accept the offer.

Communication of Acceptance (cont'd)

- Why is communication important?
- Courts will not impose a contract on the parties
- Assent reinforces the doctrine of freedom of contract
- Creates the necessary environment/awareness for performance

- The offeror can waive the requirement to communicate acceptance (but cannot impose silence as a means of acceptance on the offeree)

Larkin v. Gardiner 166-167

- What were the facts of this case?
- What issue was the court invited to resolve? How did the court resolve that issue?
- Do you agree with the court’s characterization of the “form of agreement” as an offer?
- Assuming you were advising the plaintiff, would you sue Nesbitt instead? On what legal basis?

Felthouse v. Bindley 170

- What were the facts of the case, and what was the main legal issue?

- This case holds that, for a contract to come into existence, the offeree must communicate their acceptance of the relevant offer to the offeror. One of the most important statements made by the court was this: ‘It is clear, therefore, that the nephew in *his own mind* intended his uncle to have the horse, but he had not communicated his intention to his uncle, or done anything to bind himself’. Was this proposition correct on the facts? Why was what the nephew not considered enough to bind him in law?

- How would you have decided this case if the uncle had sued the nephew for breach of contract?

- This case also decides that an offer**or** cannot arbitrarily impose contractual liability upon an offeree merely by proclaiming that the offeree’s silence shall be deemed consent. Why is this principle important?

- Can acceptance have a retrospective effect in law? [see notes below]

Communication of Acceptance – Silence

- In general, an offeree’s silence does not constitute consent or acceptance in bilateral contracts.
  - Reasons for this rule (protects offeree; silence is equivocal; objective evaluation of intention cannot be made without external manifestation of it)

- There is no absolute rule that silence can never amount to acceptance. Situations in which silence <u>may</u> be acceptance:
  - An offeree silently takes the benefit of the offer
  - An offeror waives the requirement of communication
  - Course of dealings (repeat transactions)

+++ See American Restatement of the Law of Contracts (Second) § 69 (see slide notes below)

- Waiver of communication
  - The requirement of communication is for the benefit of the offeror, so he can waive it
  - Waiver may be implied (e.g. unilateral contracts)